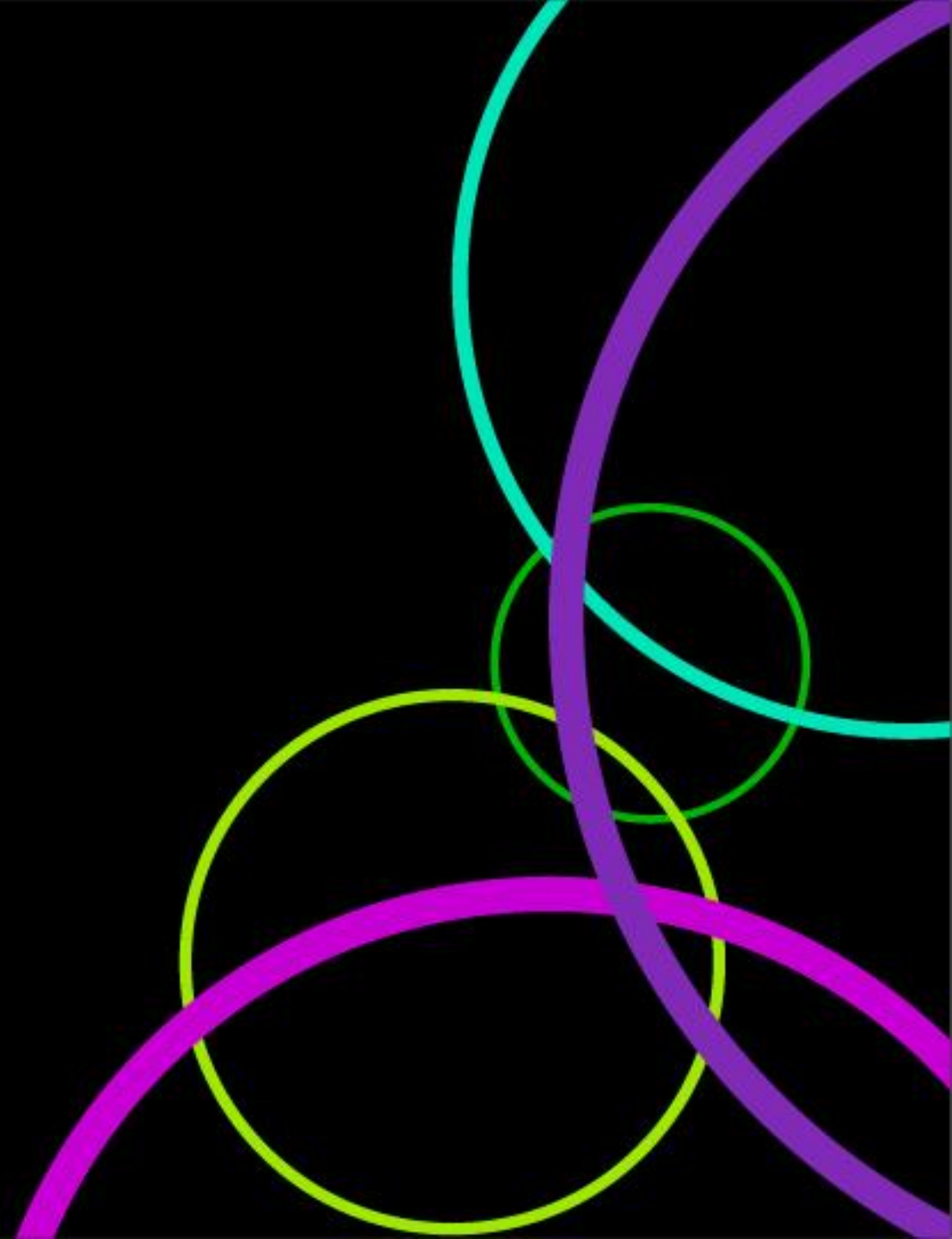


KANTAR PUBLIC

Generating greater revenue for NHB through philanthropy and business development

Phase 2 interim report

January 2022



Contents

1 Background

2 Business development

3 Philanthropy

4 Next steps: Quantitative research with the general population



1 Background



Central question and objectives

How can we safeguard Singapore's heritage sector by generating greater revenue, through philanthropy and business development?

1

Assess current perceptions, attitudes and engagement with NHB and its institutions, amongst both givers and customers

2

Understand giver / customer needs and selection criteria for engaging with NHB and its institutions

3

Assess the extent to which NHB's and its institutions' brands and offerings are aligned to giver / customer needs, relative to competitors

4

Identify strong value propositions and opportunities to generate revenue for NHB and its institutions

Philanthropy

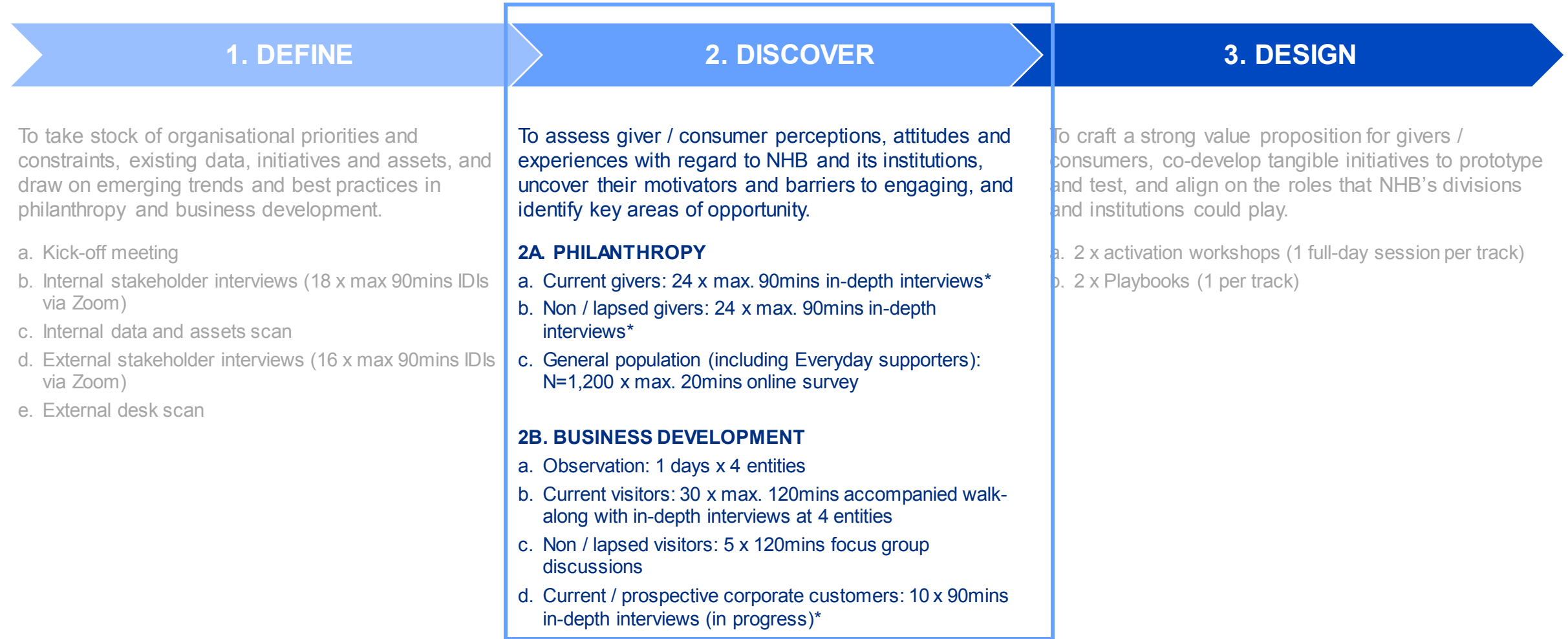
Grow sponsorships and donations
→ *Fundraising strategy*

Business development

Win customers and grow revenue
→ *Business development strategy*

Where we are at now

A three-phased approach incorporating two tracks – philanthropy and business development



What this report will cover

This report presents our findings from our Phase 2 qualitative research with individual givers / visitors, and our plans for the Phase 2 quantitative research with the general population.

2. DISCOVER

To assess giver / consumer perceptions, attitudes and experiences with regards to NHB and its institutions, uncover their motivators and barriers to engaging, and identify key areas of opportunity.

2A. PHILANTHROPY

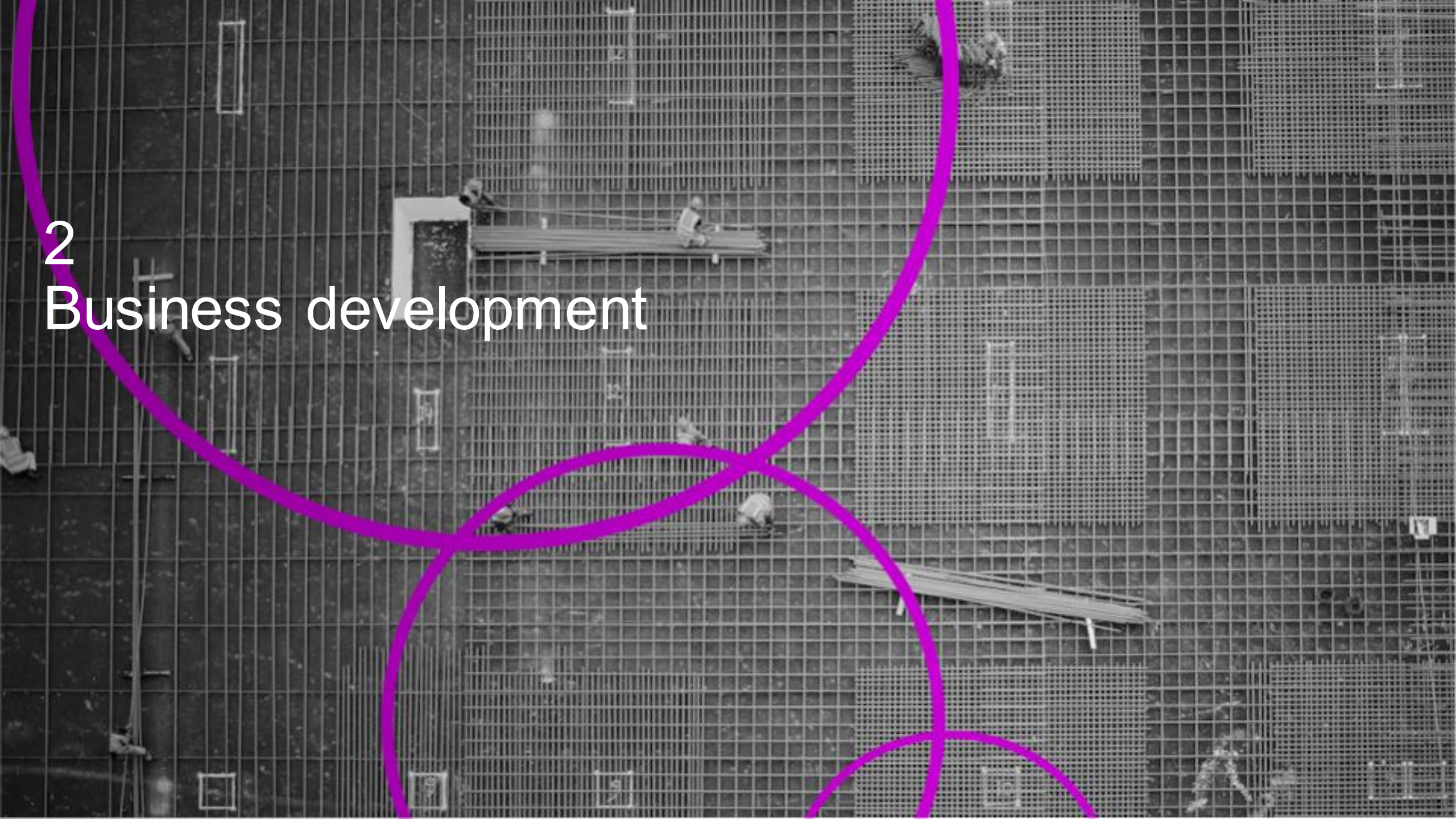
- a. Current givers: 24 x max. 90mins in-depth interviews*
- b. Non / lapsed givers: 24 x max. 90mins in-depth interviews*
- c. General population (including Everyday supporters):
N=1,200 x max. 20mins online survey

2B. BUSINESS DEVELOPMENT

- a. Observation: 1 days x 4 entities
- b. Current visitors: 30 x max. 120mins accompanied walk-along with in-depth interviews at 4 entities
- c. Non / lapsed visitors: 5 x 120mins focus group discussions
- d. Current / prospective corporate customers: 10 x 90mins in-depth interviews (in progress)

1 Outline the key findings from the qualitative research with the general population, across the BD and Phil tracks

2 Recommend refinements to the design and outputs of the Phase 2 quantitative research with the general population

An aerial photograph of a construction site, showing a grid of rebar or a similar structural pattern. Several workers are visible on the site, and there are some construction materials and equipment. Overlaid on the image are several large, magenta-colored circles that intersect each other. The text '2 Business development' is overlaid on the left side of the image.

2

Business development

Background to BD track

There exists untapped potential within NHB's institutions to be financially sustainable and be less reliant on government funding¹.

In order to unlock hidden business value, we need to

1. **Understand** the needs, leisure patterns, and challenges of NHB's audiences, in order to
2. **Identify** missed paying opportunities within existing revenue streams, and
3. **Design** better experiences and diversify NHB's revenue streams beyond current

NHB institutions



National Museum of Singapore



Malay Heritage Centre



Sun Yat Sen Nanyang Memorial Hall



Asian Civilisations Museum



Indian Heritage Centre



Changi Chapel and Museum



Reflections at Bukit Chandu

At its best, NHB's institutions receive only one-fifth of its revenue from business development (from 12% at NMS — 26% at SPM²), in stark comparison with best-in-class museums around the world (e.g. NPM, 68%). Through our earlier research³, we found that **Singaporean audiences are willing to pay for culture and heritage**, suggesting that there **remains opportunities to improve yield** across all NHB institutions, especially through business development.

Existing revenue streams

- | | |
|------------------------|-------------------------|
| ● Admissions | ● Venue rental / space |
| ● Special programmes | ● Use of digital / data |
| ● Retail & merchandise | ● Marketable services |

Potential new revenue streams

?

1. There is aspiration amongst NHB's senior leadership for its institutions to be less reliant on government funding, and become more financially sustainable and innovative; especially in anticipation of further economic downturn accelerated by COVID-19.

2. Unlike other NHB institutions, SPM's structure as a CLG allows it to consult and partner with private organisations — thus explaining the large variance in percentage of BD revenue. Under its current structure, NHB institutions are able to offer research consultancy services to other governmental clients, but only under its Education and Community Outreach Division; even then in limited to no capacity to charge for services.

3. Desk research from Phase 1 of our NHB BD Study, citing Kantar's National Arts Council Population Survey report, 2019

As a point of reference, we looked to Kantar's NHB Branding study to get a baseline understanding of audiences and how they perceive NHB institutions in this phase

Public interviews and surveys were conducted to develop a holistic branding strategy to better position NHB and its institutions as the custodian of Singapore's heritage. Audiences studied were segmented similarly to our study in this Phase, thus serving as a comparable reference point.

Audience perceptions of institutions

N S M
National Museum of Singapore

National Museum of Singapore (NMS)

Seen as an immersive and informative museum for the people



Indian Heritage Centre (IHC)

Seen as community focused and enriching, targeted at the Indian community



Asian Civilisations Museum (ACM)

Seen as an esoteric museum for the open-minded and adventurous



National Gallery of Singapore (NGS)

Not an NHB institution but seen as a best-in-class museum in Singapore

Audience motivators and barriers

Key motivators

1. Educational aspect (for first experience, less so for subsequent experience)
2. Self discovery
3. Fostering relationships
4. Preservation and continuity
5. Spontaneous visits driven by coincidence²

Key deterrents

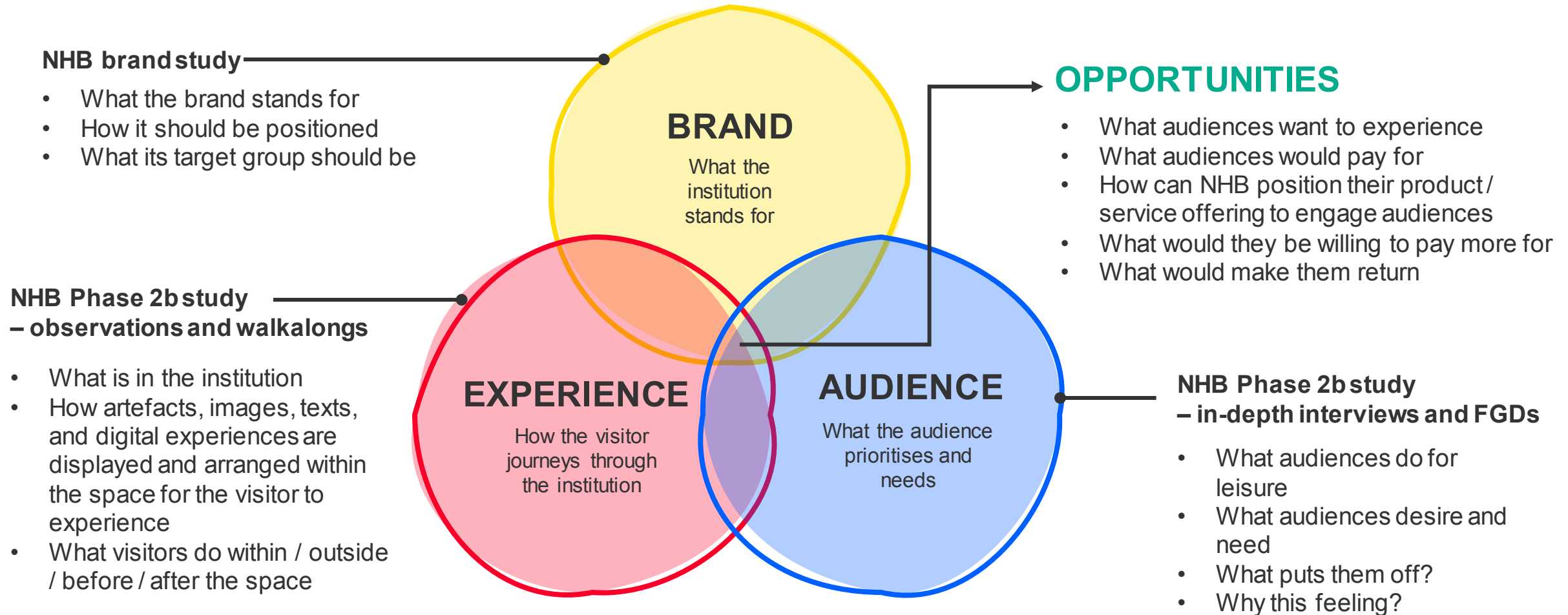
1. Perceived lack of relevance to daily lives
2. Lack of full package experience
3. Lack of company³
4. Predominance of static displays
5. Heritage perceived as artificial
6. Sense of being 'forced' to go; lack of control in making one's own decisions, negative associations with visit

Implications for our study

Despite understanding what motivates and deters audiences to engage with heritage, there's still a **gap in understanding audiences' needs and wants, when contextualised to the museum experience**, especially when it comes to what they find enjoyable, and how they make decisions on their existing leisure activities.

What might we **leverage these current behaviours and identify opportunities** to drive them to visit and pay for heritage experiences?

Our overall approach for this study was to synthesise audiences' current behaviours and needs, and contextualise their museum-going experience, in order to identify opportunity areas for NHB institutions



What we found was that there are several ways to generate more BD revenue for NHB institutions. These can be broadly categorised into four non-mutually exclusive strategies.

Growing number of audiences	Growing per capita spend by audience	Growing time spent by audience	Growing frequency of visits by audience
Developing the discovery funnel to engage audiences before they become a visitor (visit NHB's institutions). Audience development can be done through online, offline, or omni-channel touchpoints by: - Seeding interest in culture and heritage by distributing smaller slices of the NHB experience outside of institution sites - Partnering with other organisations for cross-marketing - Creating opportunities for audiences to share about NHB with their network (word-of-mouth marketing)	Increasing monetary spend per audience by identifying existing touchpoints or touchpoints which can become chargeable opportunities. These could look like identifying: a) pain points where audiences are willing to pay to eliminate; b) gain points where audiences are willing to pay for to attain higher utility / satisfaction / joy increment; c) missed opportunities where audiences are already willing to pay, but NHB is not yet charging for. This could mean introducing new experiences, or increasing price points of products / services to be more competitive and match what audiences are willing to pay for.	Another way to increase revenue generation opportunities is to encourage audiences to spend more time within each NHB institution. Through boosting time spent in each NHB institution, audiences can be pushed to spend more money through: • Engagement • Upselling of experiences / services	Beyond spending more time within institutions, audiences can also be encouraged to visit NHB institutions at a higher frequency, which can then increase the potential for them to spend more money at the institutions. Over time, NHB can: — Create opportunities for audiences to frequently return to each NHB institution; — And / or to visit other NHB institutions (cross-sell)

Our methodology and approach

To deep dive into understanding audiences' needs in this phase of study, we conducted several streams of user research

Focus group discussions (for non/ lapsed visitors)

To uncover reasons for not visiting NHB institutions, potential triggers and motivators, lifestyle patterns, decision making process

- N=5 FGDs (5 pax per FGD)
- LOI = 120 mins
- Online FGDs moderated by Kantar researcher
- Participants were invited to share their input via a digital canvas (Figma), and shown an online stimulus to map out their leisure time
- Period: end Oct 2021

Walkalongs + In-depth interviews

To understand what museum-going audiences think, feel and do in context; to understand audiences' needs, goals, behaviours, and habits

- N = 30 (N=10 for NMS, N=10 for ACM, N=5 for IHC and N=5 for NGS) 2 of which were conducted to capture their experiences of NMS and ACM's online exhibitions and programmes
- LOI = 120 min (45 mins unprompted walkalongs¹ + 75 mins IDI)
- IDIs were conducted in-person, after the walkalong, on-site or a nearby venue
- Period: mid-Nov – early Dec²

Ethnographic observations

To understand how places, people and processes (3Ps) facilitate or inhibit audiences' needs and experiences across touchpoints

- 8h x 4 different sites (ACM, NMS, IHC, NGS)
- Observations at each site was conducted by 4 Kantar researchers, over a mix of weekdays and weekends to ensure randomness in observation sampling
- AEIOU framework
- Period: end Nov 2021 – early Jan 2022 [a postponement in our initial schedule due to extension of COVID-19 restrictions; which would have meant observing a lower footfall, since groups, young children and seniors were advised against visiting public spaces]

In-depth interviews with organisations

- N=10 in-depth interviews (60 to 90 mins) with
- Organisations who have rented / intend to rent venues from NHB or may benefit from corporate memberships
- Potential partners for BD collaboration in areas of:
- Art / cultural artefact leasing, educational programmes, partnership with property developers, omni-channel development, and other potential areas of business development

Keeping in sync with the NHB branding study, we organised our study by audience profiles segmented according to the following life stages:



Tertiary students

- 18 – 26 years old
- ITE, Poly, or University student with valid student pass
- Not working full time for at least 3 years. No children.



Young Working Adults

- 40 years old and below
- At least 3 years of working full time
- No children



Parents of Younger Children

- Below 60 years old
- At least one child between 18 months and 12 years inclusive
- Mix of working and not working parents



Parents of Older Children

- Below 60 years old
- At least one child aged 13 – 17 years old
- Mix of working and not working parents

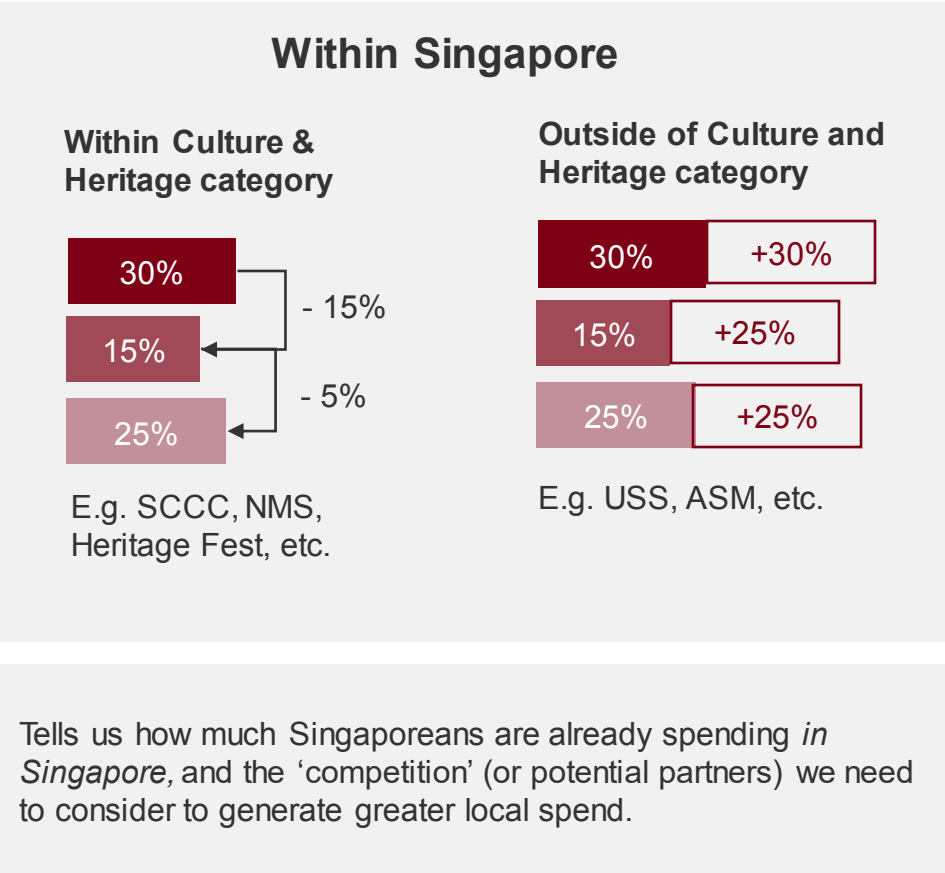
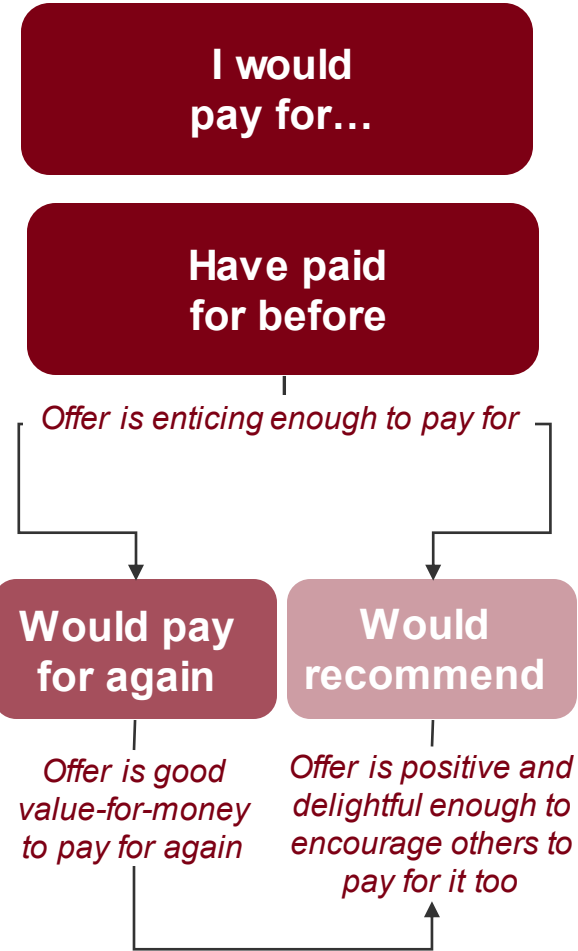


Seniors

- 60 years old and above
- Mix of working and non-working

Across each audience profile, we engaged with both **non/lapsed museum goers** as well as **current museum goers**, to get in-depth insights on audiences' **motivators and barriers to engaging** with NHB's touchpoints and **contributing** to existing revenue streams. In so doing, we hope to better understand our audience to ideate around revenue-generation opportunities for each of them, whether they currently already set foot in museums, or have yet to try.

Sizing and validating BD opportunity areas via quantitative gap analyses



An aerial photograph of a city street with several people walking. A large, semi-transparent yellow circle is overlaid on the lower right portion of the image, containing a person walking. The text '3 Driving NHB yield through corporate BD' is overlaid on the left side of the image.

3

**Driving NHB yield
through corporate BD**

4

Methodology and approach

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In-depth interviews with organisations

- N=10 in-depth interviews (60 - 90 mins)
- We chose organisations based on:
a) their expertise to collaborate,
b) potential to become a client in the eight areas of exploration,
c) who have had previous partnerships / working arrangements with NHB
- *Recruitment was done through desktop research on appropriate candidates. The eight areas of exploration were:*

Marketable services, art / cultural artefact leasing, workshops / seminars, programmes, partnership with property developers, venue rental, channel development for retail, and other potential areas of business development

Underlying principles can underscore where efforts should be prioritised, so that NHB can decide on *who* to partner with for the greatest impact to yield, and *how*

HOW: In deciding which revenue stream, or idea, to prioritise, we consider three key areas of priority:

A. Revenue potential

HIGH = A1

LOW = A2

- Does this stream allow NHB to build high revenue, either through
 - A large proportion of target audience potential (i.e. mass market appeal), and / or
 - A large quantum per transaction (e.g. willingness to pay a high quantum), and / or
 - A high frequency of recurring income (e.g. evergreen industry needs)?

B. Resources required

LOW = B1

HIGH = B2

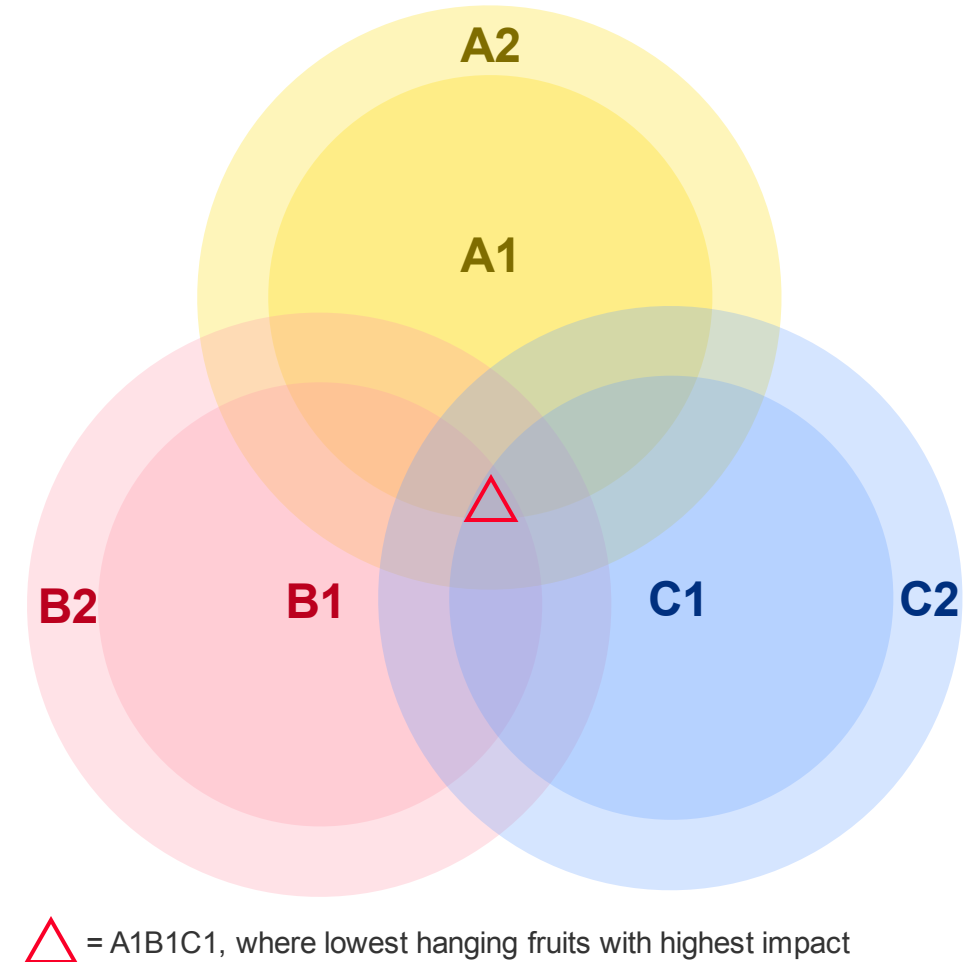
- How much resources would NHB be required to put in to make this work?
 - Does a tangential stream already exist within NHB that could be adapted?
 - What is the unit cost for this stream / idea to be built?
 - Is the manpower and timeline feasible for NHB?

C. Competitor market

LOW = C1

HIGH = C2

- Where else can potential customers go to for this same service?
 - Does NHB have (the potential for) a high USP in this space?
 - Is the competitor market big (i.e. a large number of others with the same offer)?
 - Is the competitor market strong / difficult to break into?



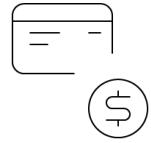
For private organisations, we found that decisions on business partnerships are underpinned by perceived need and relevance. Organisations may not care about NHB's offerings, but they care how those offerings may help them achieve their goals.

ORG's GOALS	NHB's OFFERINGS	EG. HOW NHB's OFFERINGS CAN HELP ORGANISATIONS
Grow sales and pricing	Retail and merchandising	Maximising sales Optimising pricing Lowering costs
Grow customer loyalty and retention	Audience reach and engagement (in-museum / museum channels) Heritage programmes to drive footfall	Grow customers/ community Client satisfaction Customer diversification
Increase brand visibility, marketing	Cultural cache Governmental legitimacy	Brand building Audience reach
Product differentiation	Venue and rental spaces Consultancy services for heritage stories	Product launches Product innovation
Employee engagement	Exhibition Venue and rental spaces	Drive employee satisfaction Curate memorable events and experiences

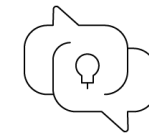
Other motivators which make it easier for organisations to partner with NHB:



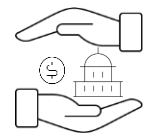
A **leader** within the organisation with a **personal interest** in heritage and culture



A **corporate budget** dedicated to appreciation of culture and heritage



An **organisational culture** which embraces experimentation



Long term **strategic alignment** to grow organisation's business alongside heritage areas

Similarly for NHB, a partnership can be considered meaningful only if it meets NHB's needs and goals.

The ways in which organisations can meet NHB's needs create three possible outcomes and models for partnerships.

	1. Value chain partnerships ¹	2. Interdependent partnership	3. Strategic partnerships
REASON FOR PARTNERSHIP	NHB has a competitive offer compared to the market.	Complementary needs	Enhance competitive context
NHB	Is able to provide offerings	Is able to provide offerings; while lacks and needing other resources	Both have own strategic objectives in which relationship plays key role.
ORGANISATION	Lacks, needs, and is willing to pay for offerings.	Is able to provide resources needed by NHB; while lacking offerings which NHB can offer	Net value of partnership is believed to be more valuable than outsourcing / finding a supplier; so they want to make it work.
HORIZON FOR YIELD GENERATION	Short-term		Long-term
INVESTMENT NEEDED (EFFORT / TIME / MONEY)	Less investment		More investment

Example of NHB needs and goals

COMMERCIAL

Increasing topline

- Channel distribution (retail merch, admission tickets)

Lowering bottomline

- Lower production costs

NON-COMMERCIAL

(which can be capitalised over time)

Audience Development

- Drive footfall
- Engagement
- Expand reach

Brand awareness

- Increase brand visibility
- Establish thought leadership, custodian of heritage status

Identifying the *right fit* in partners should also be driven by several guiding principles that allow NHB to build meaningful relationships with both the general public and their network of partners

Who: Within each revenue stream, potential partners should bridge NHB's gaps, while also finding mutual alignment in brand / goals

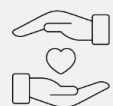
PRINCIPLES OF ALIGNMENT



Alignment of brand and common goals

Prioritise partners based on how well aligned they are with the wider picture of NHB's mission:

- Does this brand's goals and principles align with the work of NHB?
- Do they care about the preservation of heritage, culture, or the arts?



Alignment of mutual willingness to help

Work with partners that are patient in understanding the nuances and systems of a statutory board to ease the process of partnership and execution.

- How accommodating will this partner be to NHB's needs; how can NHB accommodate to *their needs*?

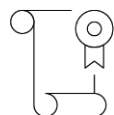
PRINCIPLES OF STRATEGIC PARTNERSHIP



Audience size and reachability

Consider the target audience of potential partners, and their alignment with NHB's target audience.

- How big is their market size, and how wide is this organisation's reach?
- What is the potential of their incoming revenue?
- How easy / difficult will it be to engage this audience?



Brand position and elevation

Understand associations with this partner's brand, and where they stand in their industry / in the marketplace.

- What is the perceived quality of this partner's brand?
- Does this elevate NHB's brand as a thought leader / custodian of heritage?



Audience quality and stickiness

Assess their audience's willingness to pay, and the potential to upsell other NHB offerings.

- What are the different spending patterns of their audience? What do they currently pay for, and at how much?
- What is the recurrence of their target audience? How frequently do they engage with this partner?

7

Opportunities to drive
yield within each
revenue stream

Within **venue rentals**, organisations perceive NHB's spaces as **unlike other venues** in SG, with **opportunities to host unique activities**

Overall, NHB spaces are deemed as desirable spaces to host events – suggesting that venue rental as a revenue stream is a **low hanging fruit**¹ which can be better utilised to generate higher yield today.

STRENGTHS

NHB spaces are perceived to be imbued with ambience and meaning – setting it apart from other commercial spaces.

Event organisers see potential in NHB spaces, and are eager to transform it for unique events with exclusive clients who appreciate culture and heritage.

"Create these experiences inside a cultural institution, which gives you complete immersion into a world you can discover. Then you create the content – a talk, a lecture, an interactive dinner, a presentation of the product, or a launch of something. This is the way to go for a more intimate, immersive storytelling." – Event organiser

"[Venue] always a talking point; something people can learn from, and obviously a soft promotion of the cultural institution." – Event organiser

"[certain] kind of events don't need to be staged in a hotel.. It's this mood I am after. I stay away from common commercial venues." – Event organiser

"So, obviously looking for unique spaces like museums, hotel spaces. I mean museum, it's a perfect place because it is there, it's grand and we know that there is a special layout and plus the fact that there are F&B joints around." – Ticketing platform

WEAKNESSES

At the same time, bureaucratic processes and inflexible arrangements create friction for organisers

"Just make a little bit more flexible so that I can park... Not to fill up million and one papers for me to unload." – Event organiser

"I know NHB also cannot bring your drink in, cannot do this and that, they basically have prohibitions all over the museum." – Governmental org

On top of usual spatial challenges and layout constraints,

"We need a big room for everyone to come together for townhall and breakout rooms to do innovation." – Governmental org

poor curation of past rental partners and logistical support make venue rental at NHB less desirable.

"The lack of exclusivity. [Brands want] original, out of the box experiences. They always ask me, 'did you do any [events for competitor] brands, how long ago was it'. Some of the places are overused." – Event organiser

"Sometimes I see the events done at the venue are not up to par. The setup, the sound, the light. It puts me in a position of not doing something at that particular venue, at least for a while." – Event organiser

How might we...

1

Leverage on NHB's unique spaces to build desire for its venues, despite spatial constraints?

NHB spaces are typically historical buildings with its own **spatial logic** and challenges. Limited options for event capacity and client types, coupled with SG's competitive venue rental market, it is **challenging for NHB to compete on prices alone**

2

Partner with strategic partners who can build strong brand associations with NHB's space?

The most prestigious organisations are **protective about their brand**. Renting NHB spaces based on fees alone (and not by careful curation) may **risk brand dilution** and lower chances for NHB to rent other organisations – jeopardising chances for NHB to grow its B2B network.

3

Streamline the process of venue rentals for an integrated, seamless heritage space offering?

Inflexible rules on venue utilisation and poor logistics limit the possible range and depth of memorable events in NHB spaces; resulting in vanilla events. Poor execution of events pose a **reputation risk** for NHB as a reliable venue host.

1 Work with constraints

- **It's a feature not a bug.**
Focus on clients who appreciate the uniqueness of NHB's spaces¹.
- **Create differentiation**
Have base rates for standard rentals, with customisable pricing based on exclusivity of event and space (e.g. foyers and green space).
- **Work with complementary services in neighbouring spaces**
Work with neighbours who can support with other needs of the event.

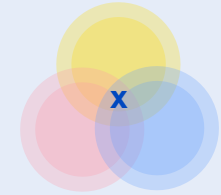
2 Focus on quality

- **Curation matters.** Leverage on organisers' quality control to match NHB spaces with the right brands and events.
- **Positioning.** Position NHB venues as synonymous with unique, exquisite heritage experiences.
- **Think outside the box.** Allow event organisers to blend their vision into the design of the space (e.g. foyers / lawn spaces for cocktails, open up secret spaces which are not for audience viewing - archives, dining in gallery).

3 Be client friendly

- **Intuitive booking process.** Simplify processes so venue organisers can organise events with ease and customise accompanying services with flexibility (e.g. empower on-ground staff to become a one-stop shop concierge service for all things heritage)
- **Help clients deliver joy.** Enable organisers to create the best experiences for their customers (e.g. good logistical support, allow them to bring in own F&B partners, ensure flexibility timing and best place to drop off goods)
- **Go long.** Focus on building long-term relationships with clients to ensure future engagements

Venue rental



A1B1C1
Low hanging fruit with high impact

How venue rental helps partner organisations

- **Product launches** help position org's brand / product in better light
- **Networking events** helps org with brand positioning while engaging clients / employees

How venue rental helps NHB strategically

- **Brand position and elevation**
- **Audience quality** -- build network, while winning audiences over to NHB's brand and causes (for philanthropic development)

POTENTIAL

Value chain partners (clients)

ADAGIO EVENTS
KLOOK

Interdependent partners



Strategic partners



Organisations are keen to have **relevant exhibitions, and bundled admission tickets** with their offers — especially those with interests in capturing audience attention.

While competing options remain within the leisure industry, and across other museums, **NHB's focus on Singapore's culture and heritage, and its extensive venues** remain a draw for potential partners.

STRENGTHS

NHB's exhibitions are seen as a unique cultural alternative to other entertainment options in SG – making bundling NHB admission tickets an attractive option; especially for corporates and tourists.

Some orgs believe custom experiences¹ is a unique selling point for their audiences.

"If we see it [a heritage experience] as a bespoke service, this special experience can be offered as our ace in the sleeve. It's curated to the [audience's] taste, so whether it's Singapore artist or whatever [content], if they are interested then NHB can start working on it." – Governmental org

We sell to corporates, and actually have a whole arm that sells to like institutions, bank partners... I can give you a special rate for your corporate partners." – Ticketing platform

Others see exhibitions as an opportunity to do business with NHB

What I can offer is that, NHB can co-share the revenue with me, meaning that for every ticket I sell, you want foot fall, I generate content, I bring in foot fall for you... co-share with me because I know that NHB comes in as an official venue sponsor. " – Ticketing platform

WEAKNESSES

However, in some past experiences, NHB has given some exhibition organisers mixed signals...

"[But for NHB], it's something that we have never been able to discover their [objectives]." – Ticketing platform

occasionally setting unrealistic expectations for private organisations, who also have to meet their own commercial KPIs.

"The roadblock is because it's different departments of people talking to me, here's like people doing sales, and then there is a rental partners. And then I guess everyone has their KPI."
– Ticketing platform

At other times, organisations who might be keen to partner and pre-sell bundled tickets might be constrained by an exhibition's temporary nature

"it might be difficult to commit to it because I wouldn't be selling a specific exhibition. I won't be saying "you would come and have this type of exhibitions" – because by the time they come it might not be there anymore."
– Governmental org

How might we...

1

Work with organisations that aim to drive tourism, through NHB's offerings?

Admission tickets from tourists / foreigners form one of NHB's strongest revenue streams. However, opportunities to sell the museum experience overseas can be much more leveraged on, as a part of **the Singapore experience**.

2

Cater experiences to B2B clients better, bearing in mind their financial calendars?

Working with B2B to drive admissions provides a **steady inflow of ticket sales**. However, B2B are also looking for ways to sell themselves with a **competitive advantage**. Despite NHB's many offerings, there is **insufficient flexibility** in catering to their various needs.

3

Outsource meaningfully and leverage organisers to find relevant content and drive ticket sales?

A plethora of ticketing partners exist in the market that NHB could leverage on to sell admission tickets, but **few are invested in collaborating meaningfully**. While expanding reach through them is not necessarily bad, audiences are looking for **that something extra** that few currently provide.

1 Build stronger partnerships within the tourism industry

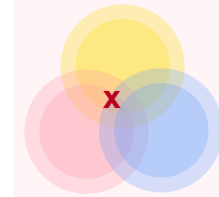
- **Identify the market presence and appetite.**
The ideal of travelling to Singapore for work / leisure appeal more to some countries than others. Find out what the sentiment is, and play to their tune to drive desire
- **Collaborate with businesses that have a similar goal.**
Collaborate on content and marketing efforts with organisations that have existing reach overseas, and that also aim to drive tourism through / into Singapore (e.g. Changi Airport Group).

2 Be flexible with B2B offerings

- **Modularise offerings.** Break down NHB's offers to allow potential clients to pick and choose what works for them.
- **Curate / create with.**
Inculcate into the journey a process that allows potential clients to voice out their needs, and give NHB staff the autonomy to work with these needs and co-develop offerings to meet them.

3 Work with partners who care

- **Know your partners.** Understand better what the goals are for your clients beyond sales; would they have a vested interest in heritage? Are there things they can do beyond hitting sales targets?
- **Be selectively smart.**
Despite the wide array of options to go for with ticketing partners, spreading them thin might result in a lower desire to partner with NHB. Choose partners based on both reach *and* alignment with NHB



A1B1C2
Low hanging fruit with high impact, but high competition

How admissions helps partner organisations

- **Tourists frequently look to visit museums when they travel.** Offering partners a lowered cost with flexible bundling allows them to gain a competitive advantage.

How admissions helps NHB strategically

- **Tourism footfall = increase revenue** both in admissions and in potential spend at retail / F&B
- **Sustained engagement** with partners interested in admissions / NHB's bundled offerings provide a steady stream of income revenue

POTENTIAL

Value chain partners (clients)



Interdependent partners



Strategic partners



Although the market potential for **special programmes** in this space may be niche, organisations see NHB's authority and offerings as crucial in growing the ecosystem through workshops / seminars

STRENGTHS

NHB's expertise is seen as the perfect partner for educational programmes around Singapore's history and heritage.

Educational institutes see NHB's brand as adding legitimacy and authority to practitioners; its venues provides contextual inspiration, while the conserved artefacts provide immersive educational experience.

"if NHB is the venue for Singapore's only masters in heritage, the association is perfect... That's a pair of victory... the module on Asian Art History will be taught in the ACM. The module on something else will be taught in the National Museum of Singapore..."

The collections can be taught in NHB's Tuas conservation center. We can teach individual courses at different NHB venues all around Singapore; which would give them a lot of footfall, a lot of exposure, a lot of identification with the masters." – Educational institute

"We would love if NHB professionals were more involved in museum studies program – and that is something that we can actually pay for." – Educational institute

WEAKNESSES

However, this opportunity space remains both niche and small.

Organisations are skeptical about the public's appetite for such programmes, and even more so their willingness to pay for them, given the 'competing' offerings by other institutes of higher learning that may offer stronger credentials.

"With education, it's even tougher because universities and polytechnics and institutions run courses and collect school fees, and it leads to some form of credentialing... you earn a degree, cert or diploma.

What can NHB offer in term of that? You have people happily coming to attend a seminar on history of this and that but they won't pay for it (if) it's just a public seminar."

– Educational institute

As prestigious education providers, however some IHLs are unable to see how NHB can add to the key needs of programmes and execution.

But then the question is why would NUS collaborate you see, what's in it? They have their own historians..."

– Educational institute

For other organisations with venues, there's a belief that NHB could **add colour to their current audience activations** and encourage **effective cross-marketing**

STRENGTHS

Many partners already have their own events to drive footfall to their own sites, and believe high quality partnerships with museums to bring museum content out of museums and into public spaces can add colour to their events

"...it is good to build partnerships where brands come together to collaborate to show the principle that 1 plus 1 is not 2, it is 3 or 4." – Property developer

"...NHB can use the same venue, to drive things like sharing heritage stories....coupling it with events maybe then you can drive footfall to those venues...the important part is to put in the right co-branding, it must be visually appealing, and there must be themes and promotions they must run around it." – Property developer

"I wish to collaborate with the museum to showcase events or even voices of the people or interest groups that are close to our hearts...I think South Beach is a wonderful platform because it has a lot of outdoor areas, high ceilings...if they want a satellite event, that's something that we could work together on." – Property developer

WEAKNESSES

But because these events are already happening, it is not top-of-mind or a priority to engage NHB

"My team is really lean, I don't have time to reach out to them, I have lost touch with people from NHB...so it's about reaching out to them to start the conversation." – Property developer

In addition, NHB institutions' low footfall does not inspire partners to host / sponsor programmes at NHB sites, especially for organisations who have their own space...

"It was a nicely done up room but the footfall there is so low, I could do something here too. I went to this museum, I felt that it's such a waste...it's so far out there, but here, I have a different catchment" – Property developer

"No I don't think there's any chance of our tenants going to NHB, though they could use our space for their satellite events...but if it's just pure exhibition, they might as well just go to the museum, why do they need to come to South Beach for it? [They use our location] more so people can gain awareness that NHB is doing something, if they want a little bit more information they can go where...it's a 'by-the-way' thing, not like people come here just for it." – Property developer

Building winning satellite partnerships requires out-of-the-box thinking

"I think NHB needs to rethink, and think out of the box, if they don't do that they will become a dinosaur" – Property developer

How might we...

1

Plug gaps in educational programmes around history and heritage with NHB's repertoire of offerings in that space?

While educational institutes have engaged with NHB's expertise, other areas of interest, such as its artefact collection, is not currently designed for public education, which many are interested in.

2

Build credentials for programme participants, while leveraging on 'competitors' already in the market?

This space of revenue streams lie in competition with some of Asia's leading educational institutes. While NHB holds authority, it lacks processes to define a sense of legitimacy in this space in comparison.

3

Barter off-site satellite programmes to drive audience lead generation to NHB sites?

While NHB's venues are one of it's greatest assets, an over-reliance on them reduces NHB's ability to penetrate audiences that are not presently engaged with NHB at non-NHB venues.

4

Leverage on existing lifestyle memberships to cross-market NHB institutions?

While Singaporeans are known to be price sensitive, they anchor their willingness-to-pay differently with *experiences*. NHB's offerings in experiences presently lie mostly *within* NHB / sister agencies, with room to grow in cross-selling across different markets in the private sector.

1 Create value where it doesn't yet exist

- **Turn artefacts into recurring revenue assets.** While institutions might have experts and credentials, NHB continues to hold Singapore tangible artefacts, which remain inaccessible to the public, and which create selling points for these institutes in designing their programmes

2 Legitimise programmes through / with credentials

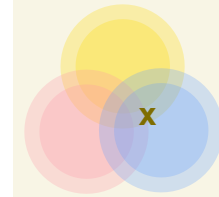
- **Work with leaders in the scene** like NUS, NTU, etc., who are already well-recognised, and have credentials that are trusted by the public and the industry.

3 Seed interest with programmes

- **Make use of hands-on programmes** to draw families, general audiences. Use offsite satellite events and partners with spaces to seed interest in audiences who normally would not visit NHB institutions.
- **Organise heritage trails** with neighbouring businesses to create momentum, visibility, and reasons for general audiences to visit neighbourhood.

4 Cross-market with membership programmes

- Partner with organisations who have membership programmes. Complement rather than creating a new one (e.g. corporate membership for office workers)
- **Cross-market** NHB offers and programmes through their membership marketing channels, and grow audiences to appreciate culture and heritage as lifestyles. Promote and invite audiences to visit NHB's institutions



A1B1C2
Little competitors, but with more to do to drive revenue.

How special programmes help partner organisations

- **Grow audience reach, customer loyalty and retention**
- **Increase brand visibility and marketing** – grow cultural cache

How special programmes help NHB strategically

- **Brand position and elevation** - Establish thought leadership
- **Audience reach** – diversify audience groups who might naturally not visit NHB institutions

POTENTIAL

Value chain partners (clients)

- N/A

Interdependent partners



Strategic partners

- N/A

Within **retail and merchandise**, organisations believe that there is room to partner with NHB for product development, and to showcase them within NHB's museum shops.

However, the **price sensitivity of the local market**, alongside the **cost price of high quality merchandise** remains a barrier towards effective partnerships and revenue growth.

STRENGTHS

NHB's authority in the arts and heritage sector is seen as an avenue for local artists to both exhibit, and retail, their products. In particular, opportunities exist for NHB to partner, and support, budding artists.

"Can you imagine the potential of heritage photography projects that we could exhibit together? And we could sell the products and you know, there's a lot (that we can do with artists). I mean any commercialization is good. And with the endorsement that the students can get, saying they had a product marketed by the National heritage Board. It's like a significant recognised endorsement that your product has quality." - Arts educational institute

Well-curated products can be bundled well with other potential partners and collaborative offerings.

"Talking about the merch, (Singaporeans) love the little pop ups (where) they bring in curated local craft and sell. But I think the opportunity to work together is for me to help you sell more...If you have a very unique, classic collection, people pay tons of money for their artwork. If we are able to do a collaboration (with artists), they have classes within your venue, it can be even local literature... not like high brow art, but local conversations where I know both the niche as well as the mass audience will be interested to come in, it can be both hybrid... I can do it" – Ticketing platform

WEAKNESSES

For the generally price-sensitive public, museum retail items continue to be perceived as being set at a high price point.

The perception that we already know from like public is they're like, 'ok but this is a museum, that's how they make money, they charge like an arm and a leg' and therefore, I said, well you want people to buy your merch, you cannot (sell merchandise) at this price you know."
-- Ticketing platform

Even if partners wanted to support with the distribution of NHB merchandise, the prices set for them provide little to no incentives for them to do so.

"If you want to call me a main distribution partner or whatever and let's say the selling price is 50 dollars and you sell it to me at 49.90 or at 49.50 and you say like you can bundle it with something and then sell it... I can understand your challenge but at the same time, it makes it very hard for me. I feel like the commercial side, we need to be a bit more flexible in a sense that, I can bring you other areas or revenue. So, don't look at just oh, I need to make 50 dollars out of it or I need to make at least 49 dollars out of it. So, can you see beyond?" – Ticketing platform

Low manufacturing capabilities in SG, compounded with slowed brick and mortar retail sales during Covid-19 makes this revenue stream a challenge

How might we...

1

Remain innovative in our product line, while supporting the local scene?

For cost effectiveness, NHB's physical stores are run by a retail partner, with **little space for innovation and collaboration with budding artists**. This limits opportunities for alignment with exhibitions, and with lacks engagement with creatives in product design.

2

Create better perceived value of merchandise through bundling across merchandise and offerings?

The product industry leverages on **marketing strategies** that **curate products and bundles** which price-sensitive Singaporeans constantly keep a lookout for, but that NHB has yet to adopt.

3

Design more efficient revenue streams, particularly in lowering costs?

Beyond pricing and sales KPIs, **profit margins are also dependent on the savings made through economy of scales**. With the low quantum of products, and the need to maintain high quality, NHB faces a **challenge in balancing profits with cost**.

4

Draw potential partnerships though pricing strategies that provide favourable rates?

Commercially driven organisations have a bottom line that **favours partnerships that maximise revenue**. Challenges for NHB exist where alignments are mismatched, most frequently in how partners **find that there is little value add in this stream**.

1 Collaborate on the ground

- **The *budding* artists are essential.**
Create opportunities for artists to work with NHB's product developments on a regular basis (e.g. with every new exhibition), while providing avenues for them to build their career.

3 Start with the profit in mind

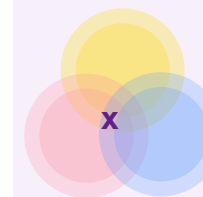
- **Expand possibilities for production**
Create value with product factories that NHB works with to lower costs for a mutual benefit (e.g. publicity, meaning, etc.).

2 Upsell, and bundle up

- **Mix and match, and test what works.**
Continually testing what works, for who, and when, can be rigorously tested while it's being implemented. Take the chance to upsell products / services by bundling them with each other.

4 Meet partners in the middle

- **Understand their needs, and show it.**
Partners want to know that NHB understands the dollars and sense to business-making. Make allowances for them to build a longer-term relationship.



A2B1C2
High-hanging fruit, but with potential for steady revenue

How retail & merch helps partner organisations

- **The NHB brand** helps build a sense of legitimacy in budding partners / artists
- **Exhibition-related products** help position partners to the market as 'limited edition', and increases desirability

How retail & merch helps NHB strategically

- **Shareability and wider reach** – tangibility of products allow them to be placed in an out-of-museum context, and well-curated ones drive commotion and expands interests in audiences

POTENTIAL

Value chain partners (clients)

KLOOK

Interdependent partners



Strategic partners



Enterprise
Singapore

Within **marketable services**, organisations are often unaware that NHB has a mandate to pursue increasing yield and do not realise NHB has existing resources and services to offer.

STRENGTHS

NHB has historical research experience, curatorial expertise, and storytelling capabilities.

These are well placed for branding and consultancy services, especially for private organisations who are looking to differentiate themselves from competitors through provenance stories¹.

"...if NHB is on a campaign to tell more heritage stories of local businesses...we will maybe recommend a couple of brands that have great traditions and a great story to tell...if NHB wants to feature these stories, then we can make some recommendations of the brands to talk to" – Governmental org

"Consumers today don't want to just buy a brand off the shelf, they want to engage with the brand and interact with it. One way is to create brand experiences, and what some of our more traditional heritage companies are doing is to create a brand museum...So in that sense, I can foresee how NHB and us can potentially collaborate to work together with our brands to create that brand story" – Governmental org

WEAKNESSES

Many potential partner are still unaware of what NHB has to offer, and that NHB would be keen to partner to work together

"We need to better understand what NHB has in mind. What their plans are. Very often, when we do cross agency, we don't come and do it from an angle of, oh, what can you bring to the table? But rather what are your goals. What do you want to achieve from the initiative that you set out to do. And then find alignment with our plans. And that is when we would find a way to them and amplify each other's value for dollar, in that sense." – Governmental org

"We have knocked on NHB's door to work with them...but throughout the years we have been getting mixed signals...sometimes they are like "yes" and then after a couple of years they are like "no" – Ticketing platform

Despite the best intents, however, NHB is unable to offer consultancy to private organisations as a marketable service due to its current structure².

At this moment, NHB is can only service public clients – but with minimal returns to yield and brand.

How might we...

1

Leverage NHB's storytelling and historical research capabilities to unlock value for organisations?

Organisations may not dedicate enough attention to longer-term product innovation goals. Meanwhile, NHB's capabilities in historical research and cultural artefact management is usually seen as **curatorial expertise** – oft narrowly seen as exhibition-making and festivals, or perceived as **nice-to-haves rather than critical must-haves**.

2

Bolster NHB's internal capabilities to develop offers and services to help organisations attain commercial goals?

NHB's current entity structure precludes it from potential yield working together with private organisations. Internally, NHB's current organisational structure may not have the adequate resources, capabilities, and commercial mind-set needed to help private organisations improve their business.

3

Make it easy for organisations to consider NHB as top-of-mind recall partner for some services.

NHB's most visible efforts and spaces lead organisations to believe that it's only well placed for **brand-building** and **audience engagement**.

Aside from programmes, exhibitions, and spaces, organisations are mostly unaware that NHB has additional services which might help them achieve commercial goals.

1 Leverage on heritage to instil trust

- **Provenance branding** – Leverage on historical, archival research and curatorial expertise to craft brand's storytelling to better appeal to audiences¹.
- **Curate emotionally grounding experiences** to tell the story of the brand / organisation or evoke a sense of trusted tradition (e.g. heritage brand museums within factories)
- **Product innovation** – Allow organisations access to NHB archives where relevant, with intent to help organisations innovate and differentiate their products

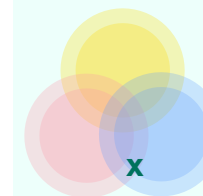
2 Create a network of organisations

- **Facilitate matching** – match organisations in order to leverage network effects to grow their businesses
- **Translate tried and trusted methods into actionables** – harness lessons learnt from traditional heritage businesses to help younger organisations improve their processes / products / services; while inspiring heritage businesses innovate and think out of the box

3 Build niche clientele and partner

- **Start small and iterate** – Identify a few organisations to run pilot programmes for marketable services (e.g. provenance branding, product innovation, matching).
- **Align and partner** with governmental bodies with similar / complementary mandates of serving public good (e.g. growing commercial capabilities through better heritage storytelling).
- **Seek out and collaborate** with existing national landmarks to position NHB as a trusted partner for services to help private organisations

Marketable Services



A1B2C1
High revenue potential, low competition, but high resource investment

How marketable services help partner organisations

- **Increase build B2B network** help position org's brand / product through B2B network
- **Marketing / brand differentiation** helps org position themselves through provenance branding
- **Product innovation** helps org redesign new products

How marketable services helps NHB strategically

- **Brand position and elevation**
- **Establish thought leadership**
- **[Potential] Grow topline**

POTENTIAL

Value chain partners (clients)

- Heritage businesses
- Organisations keen on provenance branding (e.g. property operators)
- Organisations looking to establish a storytelling experience

Interdependent partners

- Organisations interested to align themselves in heritage space
- Event organisers
- NUS, NTU



Strategic partners



On top of existing revenue streams, other BD opportunities might exist.

Public organisations overseas have shown that it's possible to create an offer out of a museum's current tangible and intangible assets – including **cultural artefacts**.

* All quotes from this stream of revenue are from Art Bank Australia.

OPPORTUNITIES

Artbank Australia has shown that it's possible to grow a self-sustaining art leasing business with revenue from public, private, and individual residents.

"Revenue this year is about 3.5 million Australian dollars... A third of our revenue comes from DFAT, Department of Foreign Affairs and Trade, and quite a lot from other federal government bodies."

About a third of our revenue comes from the corporate sector (e.g. legal sectors, commercial law firms, finance representors)

A growing part of our leasing base are part individuals for residential use...With people working from home...people are asking for backdrops and Australian artworks."

In addition to serving Australia's soft-diplomacy in countries around the world, the value of Artbank's collection has also increased over time.

"Our diplomatic missions are increasing interested in telling the story of our first nation's artist because they are very Australian phenomenon."

"Our collection has actually increased in value over time. Some works, we bought for very little. Over 40 years has gone up with half a million dollars. We're lucky, yes, we've acquired that."

CHALLENGES

However, not all artbanks are necessarily successful...

"In huge countries like Australia and Canada, geography is an issue. They have 200 clients, their minimum lease period is 3 years. That puts off a lot of people from renting. They also don't charge the fees we do."

As with most assets, there are risks of damage and depreciation, which might require write offs.

"It is not a collection that always expands, we also de-access works...Get them out of collection..e.g. if a work is damaged beyond repair... [or if it has become] so culturally significant that we decide it's not right for public rental scheme to own that work."

Additionally, the set-up intent (i.e. for leasing) has led to acquisitions of mostly non-fragile paintings – to be wall-hung; which may not be in line with NHB's artefacts.

"Most of the works are paintings. But there are plenty of clients... If they are doing foyer installs, they will have sculptures that goes on plinth, or some of the textiles that might be hung in slightly more dynamic ways."

Despite having formalised internal processes and operations, challenges remain even in growing in the artbank in different Australian markets – suggesting that business viability still depends on market willingness and client maturity in order for an art leasing to work.

How might we...

1

Ensure that the set up is made with the right intent?

The wrong set up intent would create different expectations in horizon for recuperating costs, misalignment in intent of purchase and loans of artworks/ artefacts. On top of operational challenges, risk of write offs and asset depreciation means there's a chance that there will be little interest income.

2

Make sure that the operations is foolproof?

Geographical distance (entailing logistical challenges and costs), a long lease period (which deters clients from renting), and underpriced lease fees, are just some of the few challenges faced by other artbanks around the world. Fragile artworks and chances of damage increase likelihood that the artbank depreciates in values of time.

3

Increase chances of having clients who are willing to pay

Public organisations may not have soft-diplomatic missions unlike Australia. Unfavourable leasing period and terms create inertia for potential clients. Private organisations and individuals who have less interest in collecting and emotional investment in art / heritage may not be keen to pay.

1 Clarify on purpose early on

- Set up art bank for the purpose of public good and leasing
- Determine early on that it's a working collection for rental. Avoid fragile works where possible
- Find a general purpose insurance to cover all artworks
- Be prepared to write off items as depreciated / damaged assets

2 Understand the business

- Create short lease terms that are favourable for clients – not too long that the commitment deters them; not too short such that it results in low stickiness, and creates hassle in renewal / return
- Be cautious when it comes to pricing – avoid over-complexity, and underpricing.
- Make it easy for clients allows them to pricing, sizing, logistics barriers

3 Understand the client

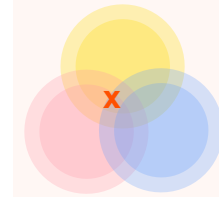
- Aim for diverse balance of clients and understand their motivators, barriers, and triggers. E.g.:

Individuals – encourage sense of pride in leasing in lieu of ownership. Let individuals lease an artwork without too much commitment

For corporates – allow corporate clients flexibility to swap out artefacts; have something to wow their clients

For public organisations – work with diplomatic missions. Help craft a SG narrative for ambassadors and diplomates to talk about artefacts

Others / Interest Income



A1B2C1
High revenue potential, high resources required, low competition

How art bank helps partner organisations

- **Brand position** – establishes cultural cache
- **Client engagement** for public organisations with diplomatic missions

How art bank helps NHB strategically

- **Brand position and elevation** – establish authority status as custodian of heritage
- **Grow audiences** – short-term leases could make heritage more be perceived as relevant as clients / customers are more emotionally invested

POTENTIAL

Value chain partners (clients)

- Governmental organisations with diplomatic mission



Interdependent partners

- Neighbouring businesses

(E.g. Special F&B, MICE hotels and neighbouring offices for satellite breakout rooms)

Strategic partners

- NAC